

27th June, 2023

To,

BSE Limited

P J Towers,

Dalal Street,

Mumbai – 400001

National Stock Exchange of India Limited

Exchange plaza,

Bandra-Kurla Complex, Bandra (E)

Mumbai – 400051

Scrip Code: 533096

Scrip Code: ADANIPOWER

Dear Sir,

Sub: Notice of 27th Annual General Meeting along with Annual Report of the Company for the Financial Year 2022-23

This is to inform that the 27th Annual General Meeting ("AGM") of the Company will be held on **Wednesday, 19th July, 2023 at 12.00 noon** through Video Conferencing / Other Audio Visual Means in accordance with the applicable circulars issued by the Ministry of Corporate Affairs and the Securities and Exchange Board of India.

Pursuant to Regulation 34(1) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), we are submitting herewith the Annual Report of the Company along with the Notice of AGM for the financial year 2022-23 which is being sent through electronic mode to the Members.

The Annual Report containing the Notice is also uploaded on the Company's website and can be accessed at www.adanipower.com.

We would further like to inform that the Company has fixed **Wednesday, 12th July, 2023** as the **cut-off date** for ascertaining the names of the members holding shares either in physical form or in dematerialised form, who will be entitled to cast their votes electronically in respect of the businesses to be transacted as per the Notice of the AGM and to attend the AGM. The remote

STRATEGIC ACQUISITION

How we are building a better tomorrow through the acquisition and turnaround of financially stressed power plants

Overview

APL acquired Essar Power MP Limited (EPMPL) on 16th March, 2022, following the acceptance of its resolution plan under a Corporate Insolvency Resolution Process conducted by the National Company Law Tribunal (NCLT). EPMPL's name was changed to Mahan Energen Limited (MEL) following the acquisition.

MEL owns and operates a 1,200 MW (2x600 MW) thermal power plant (Phase-I project) in the villages of Bandhaura, Khairahi, Karsualal and Nagwa in Tehsil Mada, Singrauli district, Madhya Pradesh. The power station comprises two units of 600 MW each.

The plant is proximate to prominent coal-bearing regions, a competitive advantage in terms of logistics costs.

Business process transformation

Following acquisition, we integrated MEL into our systems and processes with speed. This helped scale PLF substantially in the first year of acquisition, which is a testimony to our rich knowledge, coupled with a

culture of operational excellence, achieved through the DISHA process. DISHA is a proven Adani Business Operational Excellence model, designed to achieve operational transformation. DISHA was implemented in Mahan with in-house manpower. In addition to this, we inculcated Adani Safety Culture through implementation of Project Chetna, a model developed in association with renowned safety consultants for safety culture Transformation.

Your Company invested in building the organisation and in infrastructure development, which yields in-process efficiency and productivity improvement. For example, in one of the two units, capital overhauling was carried out for more reliable and efficient power generation and an improved PLF.

We identified employee capabilities in various fields and offered targeted training programs to build the knowledge base and foster a culture of innovation and agility. We empowered employees to adapt quickly to changing technologies through digitalisation, and to generate maximum value out of the assets through the

implementation of the Asset Performance Management program.

Operational transformation

Immediately after acquisition, we leveraged our considerable skills in fuel management and logistics to gain reliable access to fuel at a reasonable cost and improve competitiveness. Your Company's deep experience in power sales was leveraged to enable MEL to employ its generation capacity gainfully.

MEL entered into a 23-month PPA to supply 200 MW of power starting September 2022. It secured 1.15 MMT of fuel under Shakti B (iii) Round-3 auctions, which is being used to supply power under the 200 MW medium term PPA.

Through these efforts, MEL was able to sell 2.41 Billion units of power in FY 2022-23 despite initial technical challenges, capital overhaul and a shortage of domestic coal experienced by the power sector.



Mahan Energen Ltd. (Phase-I)

APL completed the acquisition of Essar Power M.P. Ltd. (EPMPL) through the National Company Law Tribunal process under the Indian Bankruptcy code in FY 2021-22. EPMPL was renamed Mahan Energen Ltd. (MEL) after acquisition. The Company owns and operates a 1200 MW coal-based thermal power station in Singrauli District in Madhya Pradesh. The power station comprises two units of 600 MW capacity each. The company has a power purchase agreement with Madhya Pradesh distribution companies to supply 5% of its net generation at a variable cost. At present, MEL is selling power under 200 MW medium term power purchase agreement for 23 months under the alternate power supply arrangement. The supply was started from 1st September, 2022. The balance

capacity of around 920 MW is used for selling power under the short-term / merchant market. The plant is close to pithead, a competitive advantage related to fuel logistics cost.

Highlights, FY 2022-23

- The DISHA process implementation at MEL started on 11th July and was completed in 78 days.
- The Company's IT integration was completed on 20th October.
- The Company formed sub committees and appointed a project information coordinator to start the Chetna project
- The Company completed the implementation of gensuite in October, 2022.
- The Company completed the compilation of master data in January 2023.
- The Company conducted document segregation of all projects and completed placement in roof folders.
- The Company initiated Adani Workplace Management System.
- The Company implemented technology interventions of KRONOS, SAP mobility services and ARIBA.

of electricity is expected to rise to approximately 3000 kWh by 2040. Demand for electricity in India is expected to grow at a sustained pace given the government's massive push towards 'Make-In-India', PLI (Production Linked Incentive) Scheme, increasing industrialization, improving incomes and standards of living, and push for increasing the penetration of electric vehicles in the transportation sector, among others.

The 20th Electric Power Survey of India, published in November 2022 by the Ministry of Power projects total electric energy consumption at 1,610 BU in 2026-27 and 2,133 BU in 2031-32. The corresponding peak demand is projected at 277 GW and 366 GW by the two years respectively. For comparison, the total electricity demand in 2022-23 was 1,511 BU and peak demand was 216 GW.

Over the longer term, power demand is projected to reach 3,423 BU by 2041-42 while peak demand is projected at 575 GW. The Central Electricity Authority (CEA) also projects that India's likely Installed Capacity by the end of FY 30 will be around 817 GW, up by around 400 GW as compared to the present Installed Capacity.

The Government of India has set a target of achieving 50% of the total installed capacity by the year 2030 from non-fossil fuels. The Optimal Generation Mix report published by CEA in April 2022 estimates that by 2029-30, installed capacity of coal and lignite-based power plants (net of retirements) will reach 252 GW. The likely share of thermal installed capacity will reduce to nearly 32% of the total installed capacity in 2029-30 as compared to 57% as of March 2023. However, in terms of energy generation, thermal power will continue to contribute the largest share at 57%, as compared to more than 70% at present.

Coal demand and supply

Coal continues to be the most important source of fuel for power plants in India. It represents 51% of the installed capacity and nearly 72% of power generation as of FY 2022-23. Total coal consumption has witnessed consistent growth over the years as coal-based generation capacity continues to rise. According to the Indian Ministry of Coal, India's coal demand will rise from 1,029 million tonnes (MT) in FY 2022-23 to 1,448 MT by 2029-30. Of this, the demand of the power sector for coal will increase from 735 MT to 1,034 MT during the same period.

In FY 2022-23, India's coal production registered a formidable growth of 14.7% to 893 MT compared to 778 MT in FY 2021-22. Coal dispatch to the power

sector by domestic producers increased by 9.1% to 738 MT from 676 MT in this period. On the other hand, imports of non-coking coal increased to 166 MT in FY 2022-23 (Upto Feb'23) from 152 MT in FY 2021-22, mainly due to high surge in power demand.

However, even as the Government targets increasing domestic coal production to 1,304 MT in FY 2024-25, coal imports are set to rise due to a surge in power demand.

Adani Power Limited (APL): Delivering growth responsibly

APL is India's largest private thermal power producer with a power generation capacity of 15,250 MW, consisting of 15,210 MW thermal power capacity and 40 MW solar power capacity. Of this, 1600 MW capacity (of which 800 MW is already commissioned) caters to power supply to Bangladesh, while the balance 13,650 MW is being supplied within India. Out of the current and under-construction capacity, 10,840 MW of thermal power capacity, comprising a 4,620 MW plant at Mundra, Kutch in Gujarat, a 3,300 MW plant at Tiroda, Gondia in Maharashtra, a 1,320 MW plant at Kawai, Baran in Rajasthan, and 1,600 MW (under its subsidiary Adani Power (Jharkhand) Limited, at Godda in Jharkhand, have been established by the Company.

APL has also acquired four thermal power plants with a combined capacity of 4,370 MW, including a 1,370 MW plant at Raipur in Chhattisgarh, a 600 MW plant at Raigarh in Chhattisgarh, a 1,200 MW plant at Udupi in Karnataka, and a 1,200 MW plant (under subsidiary Mahan Energen Limited) at Bandhaura, Singrauli in Madhya Pradesh.

The Company is also developing a 2x800 MW Ultra-supercritical power plant in Madhya Pradesh, which will supply power to the State under a 1,230 MW (net), 25-year Power Supply Agreement (PSA) with the Madhya Pradesh Power Management Company Ltd. The power plants of APL and its subsidiaries have specific locational advantages and strengths, which allow them easy access to fuel and connectivity to key markets.

The Company enjoys a substantial competitive advantage due to its ability to conduct sourcing and logistics of 54 million tonnes per annum (MPTA) coal within India and from abroad along with 12 MTPA fly ash, which is a complex, multi-point operation involving co-ordination of complete movement of up to 13,000 railway rakes a year.

APL has overcome numerous challenges to emerge as a financially stronger and profitable company. Various

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 72** The Company does not have any transaction to report against the following disclosure requirements as notified by MCA pursuant to amendment to Schedule III:
1. Crypto Currency or Virtual Currency
 2. Benami Property held under Benami Transactions (Prohibition) Act, 1988 (45 of 1988)
 3. Registration of charges or satisfaction with Registrar of Companies
 4. Related to Borrowing of Funds:
 - i. Wilful defaulter
 - ii. Utilization of borrowed fund and share premium
 - iii. Discrepancy in utilization of borrowings
 - iv. Discrepancy in information submitted towards borrowings obtained on the basis of security of current assets
- 73** In the matter of acquisition of Essar Power MP Limited ("EPMPL") through Insolvency and Bankruptcy Code, National Company Law Tribunal ("NCLT") has passed an order dated 1st November, 2021 approving the resolution plan. The Company acquired control over EPMPL w.e.f. 16th March 2022 on fulfilment of conditions precedent on infusion of agreed amount of equity capital of ₹ 1 Crore alongwith upfront payment of ₹600 crores to the lenders. Subsequent to the acquisition, the name of EPMPL has been changed to Mahan Energen Limited ("MEL"). Further, transaction cost added to investment is ₹1.69 Crores.
- 74** The Code on Social Security, 2020 ('Code') relating to employee benefits during employment and post employment benefits received Presidential assent in September 2020. The Code has been published in the Gazette of India. However, the date on which the Code will come into effect has not been notified and the final rules/interpretation have not yet been issued. The Company will assess the impact of the Code when it comes into effect and will record any related impact in the period the Code becomes effective.
- 75** According to the management's evaluation of events subsequent to the balance sheet date, there were no significant adjusting events that occurred other than those disclosed / given effect to, in these financial statements as of 5th May, 2023.

As per our report of even date

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

For and on behalf of the Board of Directors

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

41 Non-Controlling Interest (NCI)

Non controlling interest relate to APReL as on 31st March, 2023. NCI holds 49% shares in APReL.

The table below shows summarised financial information of subsidiaries of the Group that have non-controlling interests.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Non-current assets	-	0.01
Current assets	0.02	0.01
Non-current liabilities	0.01	0.01
Current liabilities	-	-
Net Assets	0.01	0.01
Equity attributable to owners of the group	0.01	0.01
Non-controlling interest	*	*

(Figures below ₹50,000 are denominated with *)

42 Business Combinations

Acquisition of Mahan Energen Limited ("MEL")

National Company Law Tribunal ("NCLT") vide its order dated 1st November, 2021, approved the Company's resolution plan in respect of corporate insolvency resolution process of MEL. The Company acquired control over MEL w.e.f. 16th March 2022 on fulfilment of conditions precedent as per resolution plan and on infusion of agreed amount of equity capital of ₹1 crores along with upfront payment of ₹600 crores to the lenders. The business acquisition accounting of this transaction has been done under Ind AS 103 "Business Combinations" w.e.f. 31st March, 2022 using practical expedient. Accordingly, the assets and liabilities of MEL as at 31st March, 2022 have been considered for consolidation with the Group.

The business acquisition accounting of this transaction has been done in terms of Ind AS 103 "Business Combinations". The acquisition was accounted for in the books, using the acquisition method and accordingly, all the assets and liabilities were measured at their fair values as on the acquisition date.

This has resulted in capital reserve aggregating to ₹378.92 Crores in consolidated financial statements of Adani Power Limited.

The fair value of the identifiable assets and liabilities of MEL as at 31st March, 2022 based on audited accounts of MEL were:

Particulars	Amount
ASSETS	
Non-current Assets	
(a) Property, Plant and Equipment (including RoU assets)	3,172.67
(b) Other Non-current Assets	309.38
Total Non-Current Assets	3,482.05
Current Assets	
(a) Inventories	50.20
(b) Financial Assets	
(i) Trade Receivables (Refer note (i) below)	70.91
(ii) Cash and Cash Equivalents	202.35
(iii) Bank balances other than (ii) above	139.00
(iv) Other Financial Assets	0.58

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

42 Business Combinations (Contd.)

Particulars	Amount
(c) Other Current Assets	183.12
Total Current Assets	646.16
Total Assets	4,128.21
LIABILITIES	
Non-current Liabilities	
(a) Financial Liabilities	
(i) Borrowings	2,760.61
(b) Long Term Provisions	79.05
(c) Deferred Tax Liabilities (Net)	195.91
Total Non- Current Liabilities	3,035.57
Current Liabilities	
(a) Financial Liabilities	
(i) Borrowings	649.99
(ii) Trade Payables	52.96
(b) Other Current Liabilities	3.28
(c) Short Term Provisions	6.49
Total Current Liabilities	712.72
Total Liabilities	3,748.29
Net Assets of the Company (Total Assets Less Total Liabilities)	379.92
Equity Infusion	1.00
Capital Reserve on Acquisition	378.92

- (i) Gross contractual value and fair value of trade receivables are not materially different as MEL is regularly receiving dues from its customers. Hence, there are no ECL related to trade receivable.

Net cash flow arising on acquisition during the year ended 31st March, 2022 is as below:

Particulars	Amount
Total equity infusion	1.00
Net cash acquired through the subsidiary (included in cash flows from investing activities)	202.35
Net cash inflow on acquisition	201.35

Details of Total Income and Profitability have been considered for Consolidated financial statement as if MEL was acquired on 1st April, 2021

Particulars	Amount
Total Income	1,775.49
Profit for the year	175.52

Transaction cost incurred for acquisition of MEL recognised in statement of profit and loss for the year ended 31st March, 2022 as per below :

Particulars	Amount
Legal and Profession Expenses	1.33
Other Borrowing Cost	0.36
Total Transaction cost	1.69